

Tutorial 2

Refer to the 2023 Annual Financial Statements of Pick n Pay Stores Limited Group (PnP).

1. What characteristics are common to every asset that PNP reports on its Group Statement of Financial Position?
2. Why does PNP report 'trade and other receivables' balances under both the current assets and non-current assets headings?
3. Which of PNP's non-current assets are considered to have an indefinite useful life (implying that they are not amortised)? What exercise do PNP's accountants have to perform each year regarding these assets?
4. What is the amount of PNP's allowance for doubtful debts on 26 February 2023, and where is the explanation for how this amount has been determined?
5. Which do you think are the least risky assets on PNP's Group Statement of Financial Position as at 26 February 2023? Justify your answer.
6. Does PNP have access to any borrowings? If so, where can the terms and conditions of these borrowings be found?
7. An accounting policy note on p. 66 refers to 'provision for shrinkage'. Discuss whether this terminology is strictly correct.
8. Note 19.1 on p. 68 reports that PNP had 493 450 321 shares in issue on 26 February 2023, when the share price was 4 563 c. Using these figures, calculate the market value (also known as market capitalisation) of the group on 26 February 2023, and contrast this value with PNP's book value on that date.
9. Explain the effect that daily movements in PNP's share price will have on PNP's Group Statement of Financial Position equity amounts.
10. By referring to PNP's statement of changes in equity, explain the two major reasons for the movement in the retained earnings balance during the 2023 year.

1.

2. Some receivables are projected for >12mo & some for <12mo

3. Intangible assets, Land, goodwill

Land - measure @ cost - impairment losses

goodwill - recov. amnt estimated each reporting date

4.

5. Curr. Assets e.g Inventory

- most liquid. People are always buying products + will always need them

6. Yes, T & C's to be found in note 18 & 21

7.

8. Market Capitalization:

9.

10. 1- Paid out more div per share

2-

